

HIDDEN TAX ON RISK



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How global friction redefines local insurance
in developing countries



THE PREMIUM WE DO NOT QUOTE

Every policy now carries two prices: the visible premium and the hidden tax created by global friction.

Capital is costlier, reinsurance is tighter and claims inputs are increasingly exposed to currency and supply shocks.

Local insurers do not create these pressures, but they absorb, price and transmit them.



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The central question is no longer whether global shocks reach local markets—it is whether our institutions can absorb them without shrinking protection.

When friction rises, risk does not disappear. It moves—to households, employers, governments and future retirees.

02 | Definition: Insurance Resilience

Insurance resilience is the capacity of an insurance ecosystem to anticipate, absorb, adapt to and recover from shocks while continuing to provide affordable, reliable and inclusive risk protection.



Financial

Adequate capital, liquidity and claims-paying ability.



Operational

Continuity of service, data, distribution and claims settlement.



Market

Sufficient capacity, competition and access across customer segments.



Social

Protection that prevents shocks from becoming poverty, business failure or fiscal distress.



Key distinction: A solvent insurer can survive a shock; a resilient insurance system also continues to protect society through it.

03

Definition: Global Friction

Global friction is the added cost, delay, uncertainty and constraint created when capital, goods, services, data and risk capacity move across borders less smoothly.



Geopolitical fragmentation

Geopolitical fragmentation, sanctions and trade restrictions.



Financial conditions

Higher interest rates, volatile exchange rates and constrained foreign currency.



Climate risk

Climate-related losses and repricing of catastrophe risk.



Supply & technology

Concentrated supply chains, medical inflation and technology dependence.



Regulatory divergence

Divergent regulation, tax treatment, accounting and data-location rules.



The hidden tax: These frictions rarely appear as a single levy. They accumulate through higher premiums, narrower cover, larger deductibles, slower claims, higher capital charges and reduced investment returns.

04

How the hidden tax travels



Core message: Global friction becomes local vulnerability when the cost of risk transfer grows faster than incomes, savings and institutional capacity.

05

Why developing markets feel it first



Currency mismatch

Claims and reinsurance may be hard-currency linked while premiums are earned locally.



Shallow capital markets

Fewer long-duration and inflation-matched assets constrain insurers and pension funds.



Concentrated capacity

Dependence on a small set of reinsurers, suppliers, specialists or service providers.



Low insurance penetration

Fixed costs are spread across a smaller premium pool.



Large informal sectors

Irregular incomes make conventional products harder to sustain.



Higher public exposure

Uninsured losses often migrate to households and government balance sheets.



Provocation: The countries that need risk transfer most may pay the highest friction-adjusted price for it.

06 | What changes across the insurance ecosystem



Regulators

Balance solvency, affordability, competition and systemic resilience.



Life assurers

Manage duration, guarantees, lapse risk and inflation-sensitive benefits.



General insurers

Confront imported repair costs, catastrophe volatility and capacity constraints.



Health insurers

Absorb medical inflation, pharmaceutical dependence and provider concentration.



Pension trustees

Protect real retirement outcomes amid market, inflation and currency risk.



Brokers

Explain changing terms, redesign programmes and surface emerging coverage gaps.



Reinsurers

Provide capacity, technical insight and shock absorption while managing accumulation risk.

07 | The visible symptoms

01



Premium increases that outpace household and business income.

02



More exclusions, sub-limits, waiting periods and higher deductibles.

03



Reduced catastrophe and specialist capacity.

04



Claims leakage from currency, parts, medicines and logistics costs.

05



Shorter investment horizons and weaker real returns.

06



Greater concentration, interconnectedness and counterparty dependency.

07



Expansion of the protection gap and pressure for public intervention.



Dashboard question: Are we measuring only insurer solvency—or also the system's ability to keep essential risks insurable?

08 | A resilience agenda: five moves



01

See the friction

Build shared indicators for currency, reinsurance, claims inflation, concentration and protection gaps.



02

Stress the system

Test compound scenarios across insurers, reinsurers, pension funds, banks and government.



03

Diversify capacity

Broaden reinsurance panels, distribution, suppliers, data infrastructure and eligible assets.



04

Design for affordability

Simplify products, use risk-based prevention, enable flexible premiums and target support transparently.



05

Coordinate before crisis

Define public-private roles, data-sharing protocols and response triggers in advance.



Key takeaway: These five moves build a more resilient insurance ecosystem—one that can absorb shocks, protect people and keep economies moving forward.

From isolated responses to shared infrastructure



Regulators

Use proportionate, forward-looking supervision and enable responsible product innovation.



Insurers and pension funds

Integrate friction scenarios into pricing, reserving, asset allocation and strategy.



Brokers

Turn placement data into early-warning insight and prioritise client risk reduction.



Reinsurers

Support transparent capacity planning, local technical capability and data improvement.



Governments and industry bodies

Develop risk pools, catastrophe financing, interoperable data and consumer education where markets alone cannot close the gap.



Principle: Resilience is a system property. No institution can build it alone.

Call to action: Make friction visible, manageable and shared

In the next 90 days:

01



Name one hidden tax

materially affecting protection
in your market.

02



Measure its transmission

from global shock to premium,
coverage, claims or retirement
outcome.

03



Choose one joint intervention

that no single institution can
deliver alone.

04



Assign

an owner, a milestone and a
public measure of progress.



Our goal is not to eliminate global friction.
It is to stop that friction from becoming local exclusion.



Closing question: What must we do together now so that the next shock does not become the next protection gap?

Questions for the room

1

| Which friction is most underpriced in our current supervisory and business models?

2

| Where does consumer protection conflict with short-term solvency—and how can that trade-off be reduced?

3

| Which risks require national, regional or continental pooling?

4

| What data can we share safely to improve pricing, prevention and access?

5

| How will we know that resilience has improved for the end customer?

Thank You



Contact us:
+263 242 799 829 / 799 568



Email:
info@coronationiw.com



Address:
23 Somerset Drive, Eastlea, Harare

